

contributions included "Market Still Looks Dangerous Here" (10/7), "An Appraisal: Institution Managers Don't Have the Cash to Buy Stocks" (10/7), "Diverging Indexes Spur Grim Stock Price Forecasts" (10/14), "Analysts Take Cautious View" (10/18), and "Gurus Predict Best Bull Market Gains Over" (10/25). On October 7, *Forbes* ran a commentary headed, "It's Too Late to Avert a 1929-Style Crash." The only question addressed by the article was how to prepare for it. The U.S. Government even ran a Savings Bonds advertisement in *People* magazine entitled, "Outsmarting the Bear," complete with a menacing ursine visage. The writers, in denial of the new highs, took for granted that the bear was "loose on Wall Street, and he's mean." The most amazing phenomenon of late 1985 was the continued preponderance of bearish analysts at brokerage houses. Brokers sell stocks for a living. To have the official position of any brokerage house bearish is surprising to say the least, but to have the majority of major brokerages bearish, as reported in *Barron's* that November, is one rare occurrence. "How can anyone be bullish," said an investor in one of the articles, "when you can just *look around you* and see how awful things are?"!

That last sentence and the ensuing market behavior convey more about market analysis than a university degree in economics. "Looking around you," *outside the market*, is the kiss of death to successful investing. Today, for instance, that same investor would say, "How can anyone be bearish when you can just *look around you* and see how terrific things are?" (Chapter 12 will cover this point in greater detail.)

All of the events chronicled above were reported in *The Elliott Wave Theorist* as they occurred because they so powerfully impacted and reflected a depressed market psychology. The accompanying market sentiment from 1983 through 1985 was a sign of further market gains to come, and EWT said so. Here are some excerpts from issues published during that period:

There is a contingent of analysts who are equating today's environment with that of 1929, and I see almost no justification for such an analogy.

If this is a major top, it is like no other major top in history. Structural explanations such as the relative popularity of mutual funds are not convincing. The fact is that *the stock market has yet to capture the public's imagination*. It is almost certain that that day will come before the market makes a major top. There is still a long way to go before the public reaches a truly euphoric state.